RATING METHODOLOGY

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Rating Methodology

Soft Beverages

This rating methodology replaces the *Soft Beverages* methodology published on 23 September 2022. While this methodology reflects the same core principles as the 2022 methodology, we have updated the scorecard to use linear interpolation in the scoring of quantitative factors and subfactors. We have also made editorial changes throughout the methodology to enhance readability, including expanding the "Other considerations" section for enhanced consistency across our corporate sector methodologies.

Scope

This rating methodology applies to companies globally that are primarily engaged in the production, distribution, marketing and sale of non-alcoholic beverage products. These companies include producers and distributors, many of which are independent bottlers, of carbonated soft drinks, waters, juices, teas, coffee, flavored still beverages and energy drinks, among others. The methodology applies to soft beverage companies that combine the function of a concentrate producer and a bottler; concentrate producers (aggregated with their bottlers); and bottlers in integrated systems or fragmented networks.

The determination of a company's primary business is generally based on the preponderance of the company's business risks, which are usually proportionate to the company's revenue, earnings and cash flows.

Sector overview

Some soft beverage companies produce concentrate that is sold to bottlers, some companies combine the function of a concentrate producer and a bottler, and others are soft beverage bottlers in integrated systems or fragmented networks.

The industry comprises several large companies along with other smaller companies, and a large number of bottlers package and distribute for the larger companies under exclusive agreements.

The important relationship between concentrate producers and bottlers

To understand the credit quality of a global beverage company, it is critical to understand the relationship between the concentrate producer, which owns the brand, and its bottlers, in systems where these functions are separate.

The concentrate producer owns the trademark and promotes brand advertising directed to the end- consumer, but maintains little to no distribution capability of its own in certain markets and generally little ability to get its product to market without its large bottlers.

Bottlers maintain the physical bottling and distribution infrastructures. These are often sizable and may incorporate significant investment from the concentrate providers. Equally important, bottlers typically retain significant critical local market intelligence and cultivate

long-term relationships with retailers that are not easily replaced or replicated. The bottlers benefit from the exclusivity arrangements that set out, contractually, the minimum standards the bottler is expected to meet.

These agreements also provide them with the sole right to use the trademark and brand name in a particular territory, giving them a sometimes formidable advantage over an independent non-branded bottler/distributor. Furthermore, the bottlers benefit from marketing and other types of cash and non-cash support from the concentrate producer, as it tries to help the bottlers grow demand for its products.

The business and financial connections between concentrate providers and bottlers are substantial. The success of the concentrate producer – and the global beverage business as a whole – is tied largely to the presence of bottlers that understand the local markets/cultures and are adept in navigating the local business environment. In international markets, a local bottler is often the primary source of market intelligence and responsible for maintaining relationships with various points of sale to promote and distribute product in a given franchise territory. A concentrate producer's distribution network is, thus, only as good as its bottlers' network. A weak or inefficient bottler, or one that fails to achieve the correct balance of marketing, advertising and pricing, can cause a loss of share for the system in that market. For bottlers, the exclusivity arrangements and other forms of support are a critical competitive advantage.

Given the strong business linkage between the concentrate producer and its larger bottlers in an integrated system, it is likely to be in the economic interest of the concentrate producer to provide some support to some of its bottlers in some circumstances. This is why we focus on aggregated system credit metrics in assigning the rating of a concentrate producer in an integrated system. In the case of a bottling company in a concentrate system that is not (1) an integrated beverage company or (2) a concentrate company, we apply the Bottler Support notching factor (see the "Notching factors" section).

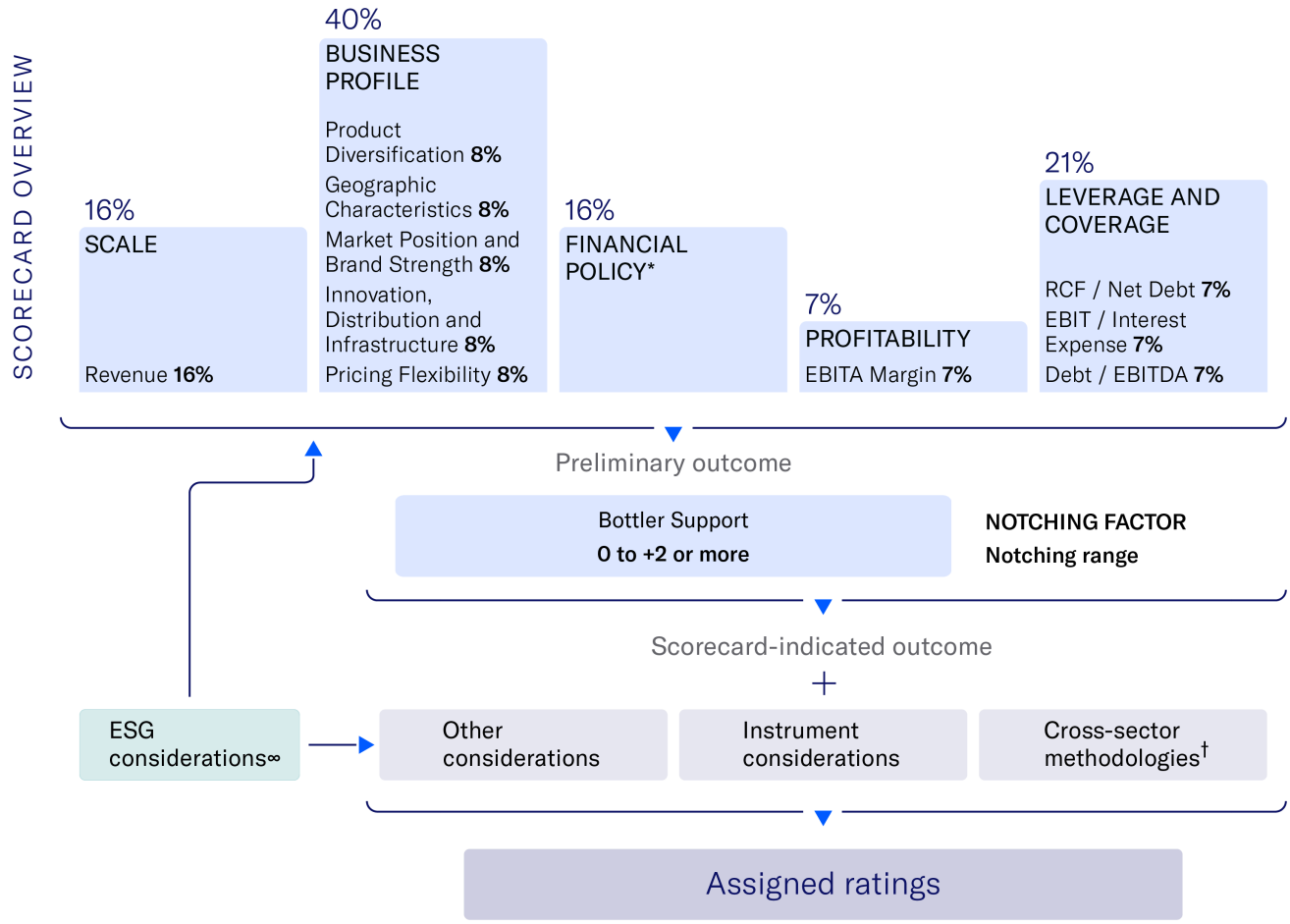
Rating approach

In this methodology, we explain our general approach to assessing credit risks of companies in this sector, including the quantitative and qualitative factors likely to affect rating outcomes.

The following exhibit illustrates our overall rating approach in the analysis of companies in this sector, which includes the use of a scorecard. The scorecard-indicated outcome may not match a company's assigned rating, which is determined by a rating committee. For more information, see the "Other considerations" and "Limitations" sections.

Exhibit 1

Illustration of the soft beverages rating approach



* This factor has no subfactors.

∞ Environmental, social and governance (ESG) considerations, including, where available, our opinions of exposure to them as expressed in Issuer Profile Scores (IPSs), may affect scorecard factors and other considerations outside of the scorecard. For more information, see the "Other considerations" section.

† Some of the methodological considerations described in one or more cross-sector methodologies may be relevant to ratings in this sector. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

Source: Moody's Ratings

Scorecard

The scorecard in this methodology is a relatively simple reference tool that can be used in most cases to approximate credit profiles of companies in this sector and to explain, in summary form, many of the factors that are generally most important in assigning ratings. The scorecard may not include or address every consideration a rating committee may assess in assigning ratings to companies in this sector.

Exhibit 2

Soft beverages scorecard

	Weight	Aaa	Aa	A	Baa	Ba	B	Caa	Ca
Factor: Scale (16%)									
Revenue (USD Billion) [1]	16%	≥ $70	$30 - $70	$10 - $30	$4 - $10	$2 - $4	$0.5 - $2	$0.25 - $0.5	< $0.25
Factor: Business Profile (40%)									
Product Diversification	8%	Expected to have excellent diversification of product and sectors; present in all major segments in a sector and/or present in multiple categories. Brand ownership.	Expected to have very good diversification of products and sectors in multiple categories. Brand ownership.	Expected to be well diversified by product, possibly in more focused sectors. Brand ownership.	Expected to be well diversified by product, possibly in more focused sectors.	Expected to have wide product offering, possibly more focused by sector.	Expected to have more focused operations; may rely heavily on few sectors or products.	Lacks diversity; reliance on one or two products, or multiple products in a niche category.	Small product portfolio; reliance mostly on one product.
Geographic Characteristics	8%	Worldwide; well diversified with no material concentrations.	Worldwide; moderate degree of focus in some regions.	Worldwide presence with a degree of concentration; may include some concentration in riskier soft beverage markets.	Broad Continental presence (Americas, Europe, Asia), possibly with some added regions; may be more concentrated in riskier soft beverage markets.	Continental presence (Americas, Europe, Asia) and/or more than 50% from riskier soft beverage markets.	Single major country or super regional within a continent and/or more than 75% exposed to riskier soft beverage markets.	Regional player AND/OR Only present in riskier soft beverage markets.	Regional or local player and/or only present in riskier soft beverage markets.
Market Position and Brand Strength	8%	Excellent domestic and worldwide market shares which are expected to remain stable over time; number one brands in most products and markets globally.	Expected to maintain leading market shares in most all markets in broadly defined categories; number one or two brands in most products and markets globally.	Expected to maintain very strong market shares globally; number one or two brands in many products.	Expected to maintain very strong market shares in designated territories; number one or two brands in most products.	Expected to maintain good market shares. Some brands may lag behind leaders in the category OR leader in narrow niche categories.	Market shares may be small or declining OR leader in niche categories or products OR unbranded.	Few brands, not well recognized, categories not attractive or cyclical, commodity-like, and declining market shares OR unbranded.	Weakly positioned in all categories, unattractive or highly fragmented category.
Innovation, Distribution and Infrastructure	8%	Expected to sustain high investment in brands with excellent pipeline of new products; infrastructure or route to consumer is a clear barrier to entry in almost all markets globally.	Expected to sustain high investment in brands and strong pipeline of new products; infrastructure or route to consumer is a solid competitive advantage in most markets globally.	Expected to sustain strong investment in brands and good pipeline of new products; infrastructure or route to consumer is a competitive advantage in many markets globally.	Expected to sustain good level of investment in brands and ability to develop new products; infrastructure or route to consumer is a solid competitive advantage in core markets.	Expected to sustain adequate investment in brands to rejuvenate product pipeline; defensible infrastructure or route to consumer in some markets.	Uneven levels of investment in brands, possible gaps in product pipeline, and/or less competitive infrastructure/ route to consumer.	Limited ability to develop new products and brands, less efficient or under-invested infrastructure/ route to consumer.	Brand/product pipeline is a concern, inefficient infrastructure/ route to consumer.
Pricing Flexibility	8%	Absolute pricing flexibility - able to increase price in all products and channels without hurting volume; always a price leader.	Generally good pricing flexibility - usually able to increase price in most markets and channels without hurting volume; generally a price leader.	Good pricing flexibility: can pass cost increases through to customers; often a price leader.	Price increases may be more difficult to attain in some products and channels; volume may suffer as prices move up; company may be a price follower.	Price follower; volumes may suffer if prices rise.	Price follower; little ability to increase prices enough to cover cost increases.	Price follower; unable to cover cost increases through pricing.	Secular decline, highly cyclical or commodity-like; no pricing power.

	Weight	Aaa	Aa	A	Baa	Ba	B	Caa	Ca
Factor: Financial Policy (16%)									
Financial Policy	16%	Expected to have extremely conservative financial policies (including risk and liquidity management); very stable metrics; essentially no event risk that would cause a rating transition; and public commitment to a very strong credit profile over the long term.	Expected to have very conservative financial policies (including risk and liquidity management); stable metrics; minimal event risk that would cause a rating transition; and public commitment to a strong credit profile over the long term.	Expected to have predictable financial policies (including risk and liquidity management) that preserve creditor interests; although modest event risk exists, the effect on leverage is likely to be small and temporary; strong commitment to a solid credit profile.	Expected to have financial policies (including risk and liquidity management) that balance the interests of creditors and shareholders; some risk that debt-funded acquisitions or shareholder distributions could lead to a weaker credit profile.	Expected to have financial policies (including risk and liquidity management) that tend to favor shareholders over creditors; above-average financial risk resulting from shareholder distributions, acquisitions or other significant capital structure changes.	Expected to have financial policies (including risk and liquidity management) that favor shareholders over creditors; high financial risk resulting from shareholder distributions, acquisitions or other significant capital structure changes.	Expected to have financial policies (including risk and liquidity management) that create elevated risk of debt restructuring in varied economic environments.	Expected to have financial policies (including risk and liquidity management) that create elevated risk of debt restructuring even in healthy economic environments.
Factor: Profitability (7%)									
EBITA Margin [2]	7%	≥ 25%	20% - 25%	15% - 20%	10% - 15%	7% - 10%	4% - 7%	1% - 4%	< 1%
Factor: Leverage and Coverage (21%)									
RCF / Net Debt [3]	7%	≥ 70%	50% - 70%	35% - 50%	20% - 35%	15% - 20%	8% - 15%	0% - 8%	< 0%
EBIT / Interest Expense [4]	7%	≥ 16x	11x - 16x	6x - 11x	3.5x - 6x	2x - 3.5x	1x - 2x	0.5x - 1x	< 0.5x
Debt / EBITDA [5]	7%	≤ 0.5x	0.5x - 1.3x	1.3x - 2.3x	2.3x - 3.3x	3.3x - 4.3x	4.3x - 6.3x	6.3x - 10x	> 10x
Preliminary outcome									

Notching factor: Bottler Support			
	Notches of lift		
Key considerations	No lift	One notch of lift	Two or more notches
Concentrate producer's ability to provide support	Lower rated concentrate producers (Baa or lower)	Concentrate producer has strong credit ratings; at least two notches above standalone credit profile of bottler	Concentrate producer has strong credit ratings; at least three notches above standalone credit profile of bottler
History of support within system, degree of importance of reputation risk, importance of beverage business to concentrate company and alignment	Lack of track record of support of bottlers of similar size or in similar markets	Good track record of support for bottlers, evidence of support	Excellent track record of support of bottlers; no known incidents of bottler default in system
Bottler size and importance	Bottler is small, not an anchor or key bottler	Bottler is a key or Anchor bottler but may be smaller than largest bottlers in system	Bottler is an anchor; among the most important bottlers in the system
Size and importance of a bottler's market to system	Market is small, not critical to franchise value, not a key market	Market(s) important to the overall franchise	Market(s) among the most important to the overall franchise
Alternative for getting product to market	Possibility to find alternate distribution methods may exist (third-party distributors, beer companies, etc.)	Would be difficult to find an alternative to distribute the product	Would be virtually impossible to replace distribution system
Scorecard-indicated outcome			

[1] For the linear scoring scale, the Aaa endpoint value is $120 billion. A value of $120 billion or better equates to a numeric score of 0.5. The Ca endpoint value is zero. A value of zero equates to a numeric score of 20.5.
[2] For the linear scoring scale, the Aaa endpoint value is 40%. A value of 40% or better equates to a numeric score of 0.5. The Ca endpoint value is 0%. A value of 0% or worse equates to a numeric score of 20.5.
[3] For the linear scoring scale, when net debt is positive, the Aaa endpoint value is 100%. A value of 100% or better equates to a numeric score of 0.5. The Ca endpoint value is (5)%. A value of (5)% or worse equates to a numeric score of 20.5. When net debt is negative and RCF is positive, the numeric score is 0.5. When net debt is negative and RCF is negative or zero, the numeric score is 19.5.
[4] For the linear scoring scale, the Aaa endpoint value is 30x. A value of 30x or better equates to a numeric score of 0.5. The Ca endpoint value is 0x. A value of 0x or worse equates to a numeric score of 20.5.
[5] For the linear scoring scale, the Aaa endpoint value is 0x. A value of 0x equates to a numeric score of 0.5. The Ca endpoint value is 12x. A value of 12x or worse equates to a numeric score of 20.5, as does a negative Debt/EBITDA value.
Source: Moody's Ratings

Discussion of the scorecard factors

In this section, we explain why each scorecard factor or subfactor is a meaningful credit indicator, and we discuss our analytical approach to scoring each factor or subfactor. When a factor comprises subfactors, we score at the subfactor level. Some factors do not have subfactors, in which case we score at the factor level.

In assessing quantitative subfactors, we use information that we calculate or estimate from a company's financial statements or regulatory filings, or that we derive from other observations. We may incorporate nonpublic information qualitatively in our assessment.

Our ratings are forward-looking and reflect our expectations for future financial and operating performance. However, historical results are helpful in understanding patterns and trends in a company's performance, as well as for peer comparisons. We typically calculate or estimate financial metrics, unless otherwise indicated, based on an annual or other 12-month period. However, we may assess the scorecard factors using various periods. For example, we may find it analytically useful to examine both historical and expected future performance for periods of several years or more.

All of the quantitative credit metrics in the scorecard incorporate our standard adjustments to income statement, cash flow statement and balance sheet amounts for items described in our cross-sector methodology on financial statement adjustments for nonfinancial corporations.[1] We may also make nonstandard adjustments that are specific to a particular company.

For a discussion of scorecard mechanics, see the "Scorecard-indicated outcome" section.

Factor: Scale (16% weight)

Why it matters

Scale is an important indicator of the overall strength of a company's business, the size of its market and the company's relevance within an industry and the economy. Scale is also an indicator of a company's importance to its customers and bargaining strength with suppliers, as well as its ability to invest resources to maintain its competitive position and expand its marketing and geographic reach.

How we assess it for the scorecard

We score this factor based on one quantitative subfactor: Revenue.

Revenue

We use total reported revenue in billions of US dollars to measure scale, or to estimate it in the case of forward-looking expectations.

Factor: Business Profile (40% weight)

Why it matters

The business profile of a company is important because it greatly influences its ability to generate sustainable earnings and operating cash flow.

Core aspects of a soft beverage company's business profile are its product and geographic diversity, brand strength as well as global and local market positions, and company-specific and sector-wide variables that can influence prospects for sales growth and market share shifts, including a company's execution capabilities and price elasticity of its products. This factor provides an indication of the likely stability and sustainability of the company's cash flows.

Product Diversification

Diversity of product offering is important because a more diverse offering allows for separate and balancing streams of cash flows, often from a variety of demographic groups.

Geographic Characteristics

Geographic diversity may smooth volatility by balancing slower and higher growth markets, regional economic swings, natural disasters, and seasonal or weather-related fluctuations in cash flows. Concentration in one or few markets may increase risk, especially if the concentration occurs in riskier or more volatile beverage markets.

Market Position and Brand Strength

A strong franchise leads to the consistent, sustainable cash flows necessary to pay debt service over the long term. Strong brands and a leading market position in a stable or growing business are key credit strengths.

Innovation, Distribution and Infrastructure

For a beverage company, innovation in the areas of product and packaging as well as marketing is important because of heavy competition and ever-changing consumer preferences. Success depends as much on the ability to execute well in maintaining consumer awareness of the product through marketing, packaging, and other types of innovation, and in delivering it through various channels, as it does on the ability to create new products aimed at changing consumer tastes.

Innovation helps to keep products at the top of consumers' minds and address changing consumer tastes to avoid missing major industry shifts, such as the move to healthier beverage alternatives.

At the same time, the ability to execute and deliver the product are important considerations. The largest soft beverage systems, together with their bottlers, have competitive advantages in many markets and are able to produce products in a vast array of packages, materials and sizes and deliver these products to virtually all types of outlets and channels. Others have more limited production and distribution power. Companies with strong execution capability globally typically receive higher scores for this subfactor than those that have advantages in only a handful of markets.

Pricing Flexibility

Maintaining a balance between price increases and volume growth is critical to sustaining overall growth in the soft beverage sector. Companies have been able to raise prices successfully, to some extent through package and channel innovation. The "cold drink" single serve channel, for example, has commanded higher prices than large format grocery channels where private label and smaller B brand competitors have muted pricing flexibility. Innovation does not always increase pricing power, however, because higher prices can deter interest in new products after a trial period, and because competitors are usually quick to follow a new idea. The ability to segment markets carefully through technology-enabled tracking can also allow for selective, market or channel-specific price increases.

How we assess it for the scorecard

We score this factor based on five qualitative subfactors: Product Diversification; Geographic Characteristics; Market Position and Brand Strength; Innovation, Distribution and Infrastructure; and Pricing Flexibility.

Product Diversification

Within a large beverage system, there may be few, if any, distinctions among bottlers for this subfactor because they all have access to the broad portfolio of the concentrate company. However, there is value to being the brand owner so there is a distinction between the bottlers and brand owner in the scorecard scoring. There may be significant differences in product diversity between systems. In considering product diversity, we also take into account the extent to which a company generates cash flow from products other than beverages. For example, a beverage system or company within the system may receive a higher score for this subfactor relative to other beverage systems or companies because of an array of food product offerings.

Geographic Characteristics

We assess the level of concentration of a company's operations and distribution in any one region (examples include the US and Canada; Latin America; Western Europe; Eastern Europe; Asia-Pacific; and Africa). Companies that have broad global diversification typically receive higher scores for this subfactor. We also consider the percentage of revenue derived from riskier beverage markets. Greater concentration on any one region and/or exposure to riskier beverage markets typically results in a lower score for this subfactor.

This subfactor contains two considerations; we typically assign a score that matches the weaker of the two. For instance, we would view positively that a company generates no more than 20% of its revenue in any region, but this would be offset if its business is concentrated in riskier beverage markets, or markets that are prone to operating inefficiencies, economic instability or unpredictable government actions.

In assessing market diversity, the absolute number of countries of operation, while useful, is not the only consideration because certain countries may have many distinct markets within their borders. Rather, we view markets as being countries where characteristics such as the economy, weather, route to market and consumer tastes are somewhat homogeneous, or as being regions within a large country where the characteristics (due to weather, economy or culture) may be quite varied (such as the US or Russia).

Market Position and Brand Strength

Companies with number one or two brands in most products across most of their markets typically receive higher scores for this factor than those with brands that lag behind the leaders in their categories.

Bottlers in large, strong soft beverage systems benefit from the strong brand recognition and market penetration of the system overall, but the advantage may be more localized. Companies that have strong market shares globally typically score higher for this subfactor. There are also differences between systems, as well as between companies that are part of a larger system and those that are not.

Reputation and image, which are key to brand value, can be damaged by unforeseeable developments such as product-related health scares, employee-relations concerns, environmental problems, rising sentiment against large multi-national corporations, inappropriate advertising for local cultures, and differing regulatory or governmental developments, including taxes that could hinder growth. For this reason, our analysis of market position and brand strength also typically includes consideration of related issues such as overall quality control, regulation, sustainability initiatives, tax environment, labor-related risks, regional risks, supply risks and the importance of packaged soft beverages within each market.

Innovation, Distribution and Infrastructure

In assessing this subfactor, we consider the level of investment in brands and the strength of a company's product pipeline. Soft beverage companies with strong track records of innovation are likely to have stronger growth and typically receive higher scores for this subfactor than those that do not. Innovation takes many forms, encompassing new products, product extensions, new packaging and labels, and even innovative advertising and promotion.

We consider whether a company's or system's infrastructure or route to consumer provides a competitive advantage or disadvantage.

Pricing Flexibility

We consider the extent to which a company can increase price without hurting volume and whether the company is a price leader or a price follower.

Factor: Financial Policy (16% weight)

Why it matters

Financial policy is an important rating determinant because it directly affects a company's debt levels, its strategic direction, the risk of adverse changes in financing and capital structure, and its overall credit quality. Financial policy encompasses the tolerance of management and the board for financial risk and their level of commitment to maintaining a strong credit profile.

Financial risk tolerance serves as a guidepost for investment and capital allocation. Liquidity management is an important aspect of financial policy and can provide insight into risk tolerance. Liquidity management is distinct from the level of liquidity, which we discuss in the "Other considerations" section.

How we assess it for the scorecard

We assess qualitatively a company's targeted credit profile or desired capital structure, and its ability to achieve its targets. We also consider a company's complexity and transparency, its track record of risk and liquidity management, and its public commitments and history of adhering to its commitments in these areas. We also consider management's operating performance and use of cash flow through different phases of economic and industry cycles, as well as how management responds to key events, such as changes in the credit markets and liquidity environment, legal actions, competitive challenges and regulatory pressures.

When considering event risks in the context of scoring financial policy, we assess the likelihood and potential effect of M&A or other types of balance-sheet-transforming events. We assess management's appetite for M&A activity, with a focus on the type of transactions (i.e., core competency or new business) and funding decisions. We also evaluate the frequency and materiality of

acquisitions and previous financing choices. A history of debt-financed or credit-transforming acquisitions generally results in a lower score for this factor. We may also consider a company's willingness to sell itself and the negative repercussions that could result, such as through a leveraged buyout transaction.

We also consider a company's and its owners' past record of balancing shareholder returns and debtholders' interests. We are likely to take a negative view in scoring this factor when a company has a track record of favoring shareholder returns at the expense of debtholders.

Factor: Profitability (7% weight)

Why it matters

A company's profitability matters because it supports the generation of sustainable cash flow and reflects the strength of the company's competitive position. Profitability also provides insights into a company's ability to manage key costs and pass them on to customers, which is an important indicator of the long-term viability of its business model. Strong profitability and operating efficiency can help a company to withstand economic and cyclical downturns that affect its competitive position and credit metrics.

How we assess it for the scorecard

We score this factor based on one quantitative subfactor: EBITA Margin.[2]

EBITA Margin

We use the ratio of earnings before interest, taxes and amortization (EBITA) to revenue.

Factor: Leverage and Coverage (21% weight)

Why it matters

Leverage and debt service coverage provide insight into the level of risk a company is willing to undertake. The degree of leverage is an important indicator of a company's financial flexibility, its ability to invest in growth opportunities and its capacity to pay debt service.

How we assess it for the scorecard

We score this factor based on three quantitative subfactors: RCF/Net Debt, EBIT/Interest Expense and Debt/EBITDA.[3]

RCF / Net Debt

We use the ratio of retained cash flow (RCF) to net debt.

EBIT / Interest Expense

We use the ratio of earnings before interest and taxes (EBIT) to interest expense.

Debt / EBITDA

We use the ratio of total debt to earnings before interest, taxes, depreciation and amortization (EBITDA).

Notching factors

The five weighted scorecard factors are used to produce a scorecard-indicated outcome for a concentrate producer (aggregated with its bottlers) and a beverage company that combines the function of a concentrate producer and a bottler. The five weighted scorecard factors are also used to arrive at a preliminary outcome for a bottler in an integrated system or a fragmented network.

For a bottler, we then assess whether the preliminary outcome from the first five weighted scorecard factors should be notched up based on the likelihood of support from the concentrate producer in the event of the bottler encountering significant challenges. In this section, we explain the role of external support and the number of upward notches that may be assigned.

In aggregate, the Bottler Support notching factor can result in one or more upward notches from the preliminary outcome to arrive at the scorecard-indicated outcome.

Notching factor: Bottler Support

Why it matters

External support, where it exists, is considered in the context of the bottler receiving support from the concentrate producer. This can result in a scorecard-indicated outcome that is higher than the bottler's preliminary outcome.

To the extent that large bottlers in an integrated system are weak and therefore more likely to require support, and to the extent that the concentrate producer is likely to provide support, a degree of ratings drag may apply to the concentrate producer, which is why we focus on aggregated system credit metrics in assigning the rating of a concentrate producer. Given the very strong business linkage between the concentrate producer and its larger bottlers in an integrated system, there is a high probability that the concentrate producer will provide some support to some of its bottlers in some circumstances. This linkage exists for the following reasons:

The concentrate producer needs its major bottlers to get its product to market

Concentrate companies that do not own their own distribution systems or have independent third-party distribution arrangements rely on dedicated bottlers to go to market. These bottlers typically distribute products of the concentrate producer under exclusivity contracts that ensure that they do not carry competing products and that they have exclusive distribution rights in certain markets. The larger the bottler, the more difficult it would be to replace it, given its existing infrastructure, customer relationships and distribution channels. While it would not be impossible for a bottler that had filed for bankruptcy to continue to get its product to market, the financial and operating impacts would likely harm the longer-term market position and operating strength of the system. The franchise and long-term health of a concentrate producer and its largest bottlers are hence closely intertwined.

In addition to physical distribution infrastructure, independent bottlers possess a significant degree of market intelligence and long-term relationships with the trade that could not be easily replaced. The concentrate producer owns the trademark, and promotes brand advertising directed to the end consumer, but the bottler/distributor owns and cultivates the relationships with most of the retailers. This is especially the case for bottlers in foreign markets.

The success of the global beverage companies is largely tied to the presence of a bottler that understands the local market and its culture and that has strong local contacts

In international markets with varying cultures, a local bottler has the market intelligence and relationships with various points of sale to effectively promote and distribute the product in a given franchise territory. The separation of the concentrate maker from the bottler has kept these large global businesses locally relevant. A bottler that does not do a good job promoting its product in its market could face pressure to make management changes or could even lose part of its territory. However, given the significant embedded infrastructure, the concentrate producer would still be more likely to seek a resolution rather than an outright termination of the bottling agreement. Often, past resolutions have involved the concentrate producer brokering an acquisition of the weaker or more successful bottler (or certain of its territories) by a stronger one.

Concentrate producers' investments in bottlers can be sizable

There are a variety of financial flows that tie the concentrate producer and its bottlers. First, many of the large bottlers are partially owned by the concentrate producer. This means that the concentrate producer has a financial investment to protect based on its view of the value of its share of expected future earnings and cash flows from that business.

Cash flows between companies can be sizable and may represent material components of the revenues or expenses of each party. The concentrate producer's investment in a particular bottler grows over time through marketing and infrastructure payments made to support the bottler in its markets. The ongoing investments by the concentrate companies represent investments in the future of their core businesses. Thus, the size and percentage of ownership is only one consideration among several in our assessment of the likelihood of support and ratings lift. Board representation also allows the concentrate producer to exercise influence over its minority-owned bottlers. The largest bottlers may have one, two or three senior executives from its concentrate producer on their boards.

Cash flows between companies

The substantial economic flows make the bottler the largest customer for the concentrate producer and the concentrate producer the largest supplier to each bottler. Furthermore, given the capital intensity of the bottling business, the marketing and infrastructure

support from the concentrate producer helps to keep the full array of companies within a system aligned in implementing one coherent strategy that considers the health of the system overall. Bottlers that comprise a substantial portion of the concentrate company's cash flows are likely to be among the most important bottlers in the system and are more likely to benefit from lift.

How we assess it for the scorecard

Our assessment of bottler support incorporates the following main considerations, which Exhibit 3 summarizes. While the summary is not intended to incorporate all nuances that can affect our assessment, in general for a bottler to receive ratings uplift, most, if not all, of the criteria shown for that number of notches would apply. The first two considerations are typically the most important in our assessment. In addition, if there has ever been a bottler default in the system, we tend to be more conservative in assigning ratings uplift.

Concentrate producers' ability to provide support

The concentrate producer needs to be financially stronger than the bottler to be in a position to provide support. For a bottler, we generally consider one notch of uplift only where the concentrate producer is rated at least two notches higher than our assessment of the bottler's preliminary outcome before support. For example, if a bottler had a preliminary outcome of A3 and the concentrate company were rated A2, the bottler would be unlikely to receive ratings uplift to the A2 level unless its debt were guaranteed.

Considering that support is not certain without a guarantee, for a bottler to receive two notches of ratings uplift, the concentrate producer's rating would typically need to be at least three notches higher than the bottler's preliminary outcome. Where the gap in credit quality is more than three notches, higher lift is possible but given the nature of these businesses, it is unlikely that a bottler would reach the same rating level as the concentrate producer (absent a guarantee). However, the rating of a critical bottler with strong fundamentals may be more than two notches higher than the preliminary outcome and within one notch of the concentrate producer's rating.

History of support within system / motivation for continued support

We consider the track record of each bottling system in assessing the willingness of a concentrate producer to provide support, and we also assess the motivation for continued support. We consider how important the beverage business is to the system overall, and the concentrate company's interest in protecting its reputation. We assess the degree of alignment within the system – in other words, the extent to which the bottler and the concentrate producer are cooperating to achieve the same ultimate goals. This is demonstrated through marketing support agreements and shared management of pricing/volume issues.

Bottler size and importance

The more important the bottler, the more likely it is that the concentrate producer will provide support. Importance to the system is not just a reflection of absolute size, but also of the bottler's ability to help the concentrate producer to access an individual market. Some markets are served by a number of different bottlers, lessening somewhat the importance of any one within a given market.

In assessing the importance of a bottler in the system, we consider the following:

» size and geographic diversity

» ability (including financial resources) to sustain long-term investments

» managerial resources

» commonality of strategic goals and commitment to the system

» equity participation in the bottler by the concentrate producer

» concentrate producer representation on bottler's board

Size and importance of a bottler's market to system

Bottlers operating in markets that are important to the overall system or that constitute a large portion of a system's sales are more likely to be candidates for some degree of support. Bottlers operating in fewer, smaller markets, or less important ones, may be less likely to see material uplift in their ratings.

Alternative for getting the product to market

In some markets it would be extremely difficult if not virtually impossible to replace a bottler due to its level of penetration and sheer size. Embedded infrastructure and relationships are so broad that independent third parties may not exist that could take on the distribution, and any attempt to change would result in serious disruption and loss of market share. In such cases, the bottler is likely to be a candidate for greater rating uplift. However, in some markets or for smaller bottlers, creating an alternate distribution system could be less difficult. This could be the case in markets where the system's bottlers are still highly fragmented, or where other beverage companies (for example, a local beer company) could distribute through an already established system. In these cases, the case for rating uplift may be weaker.

Exhibit 3
Notching factor: Bottler Support

		Notches of Lift	
Key Considerations	**No Lift**	**One notch of lift**	**Two or more notches**
Concentrate producers' ability to provide support	Lower rated concentrate producers (Baa or lower)	Concentrate producer has strong credit ratings; at least two notches above standalone credit profile of bottler	Concentrate producer has strong credit ratings; at least three notches above standalone credit profile of bottler
History of support within system, degree of importance of reputation risk, importance of beverage business to concentrate company and alignment	Lack of track record of support of bottlers of similar size or in similar markets	Good track record of support for bottlers, evidence of support	Excellent track record of support of bottlers; no known incidents of bottler default in system
Bottler size and importance	Bottler is small, not an anchor or key bottler	Bottler is a key or Anchor bottler but may be smaller than largest bottlers in system	Bottler is an anchor; among the most important bottlers in the system
Size and importance of a bottler's market to system	Market is small, not critical to franchise value, not a key market	Market(s) important to the overall franchise	Market(s) among the most important to the overall franchise
Alternative for getting product to market	Possibility to find alternate distribution methods may exist (third-party distributors, beer companies, etc.)	Would be difficult to find an alternative to distribute the product	Would be virtually impossible to replace distribution system

Source: Moody's Ratings

Other considerations

Ratings may reflect other considerations that are not in the scorecard, usually because the credit importance of these considerations varies widely among companies in this sector or because they may be important only under certain circumstances or for a subset of companies. Such considerations can include financial controls and the quality of financial reporting; corporate legal structure; the quality and experience of management; assessments of corporate governance, as well as environmental and social considerations; exposure to uncertain licensing regimes; and possible government interference in some countries. Regulatory, litigation, liquidity, technology and reputational risk, as well as changes to consumer and business spending patterns, competitor strategies and macroeconomic trends can also be considerations that affect ratings.

The following are examples of other considerations that may be reflected in our ratings and may cause ratings to be different from scorecard-indicated outcomes.

Environmental, social and governance considerations

Where environmental, social and governance (ESG) issues are meaningful for credit profiles, we incorporate them into our ratings analysis in a variety of ways in the application of our sector-specific methodologies. As one part of our overall credit analysis, we consider how ESG considerations could affect the qualitative and quantitative factors and subfactors in the scorecard.

Even where ESG considerations do not affect the measures in the scorecard, or where they cannot be quantified, we incorporate them into our overall analysis of credit drivers that are meaningful to the rating. As a result, we may incorporate these ESG risks qualitatively outside of the scorecard. As part of our ratings analysis, we may establish Issuer Profile Scores (IPSs), which indicate our opinion of the extent to which a given company is exposed to E, S and G risks (incorporating ESG-specific mitigants) or benefits from its exposure to E, S or G. The IPSs are inputs to credit ratings. For more information, see our methodology that describes our general principles for assessing ESG risks.[4]

Liquidity

Liquidity is an important rating consideration for all companies, and extremely weak liquidity can heavily affect ratings in many cases. Our liquidity assessment can be particularly important where there are significant short-term demands on a company's liquidity, for example, in highly seasonal operating environments where working capital needs must be considered. We form an opinion on likely short-term liquidity requirements from the perspective of both sources and uses of cash. For more information, see our liquidity cross-sector methodology.[5]

Management strategy

The quality of management is an important factor supporting a company's credit strength. Assessing the execution of business plans over time can be helpful in assessing management's business strategies, policies and philosophies, and in evaluating management performance relative to that of competitors and our projections. Management's track record of adhering to stated plans, commitments and guidelines provides insight into management's likely future performance, including in stressed situations.

Financial controls

We rely on the accuracy of audited financial statements to assign and monitor ratings in this sector. The quality of financial statements may be influenced by internal controls, including the proper tone at the top, centralized operations, and consistency in accounting policies and procedures. Auditors' reports on the effectiveness of internal controls, auditors' comments in financial reports and unusual restatements of financial statements or delays in regulatory filings may indicate weaknesses in internal controls.

Regulatory considerations

Companies in this sector are subject to varying degrees of regulatory oversight. Effects of these regulations may entail limitations on operations, higher costs, and higher potential for technology disruptions and demand substitution. Regional differences in regulation, implementation or enforcement may advantage or disadvantage a particular company.

Our view of future regulatory requirements is important because it is the basis for our expectations of future financial metrics and of a company's ability to generate sufficient cash flow relative to its debt burden over the medium and longer term.

Event risk

We also recognize the possibility that an unexpected event could cause a sudden and sharp decline in a company's fundamental creditworthiness, which may cause assigned ratings to be lower than the scorecard-indicated outcome. Event risks — which vary and can range from leveraged recapitalizations to sudden regulatory changes or liabilities from an accident — can overwhelm even a stable, well-capitalized company. Other types of event risks may include M&A, asset sales, spinoffs, shareholder distributions, litigation, natural disasters, pandemics, significant cybercrime events and geopolitical conflicts.

Excess cash balances

Some companies in this sector may maintain cash balances (meaning liquid short-term investments, as well as cash) that far exceed their operating needs. This excess cash can be an important credit consideration.

The amount of cash required to run a business can vary materially based on the regions of operation and the specific subsectors in which a company operates. As a result, we typically assess cash on the balance sheet qualitatively, taking into account a company's track record and its financial and liquidity policies. Cash holdings may be a material mitigant in our scenario analyses of potential acquisitions, share buybacks or special dividends. We assess possible uses of cash, especially for companies that may be acquisitive or under pressure to return cash to shareholders. By contrast, some companies maintain large cash holdings for long periods in excess of their operating and liquidity needs solely because of conservative financial policies, which provides a stronger indication of an enduring

approach that will benefit creditors. Large cash holdings provide some buffers against credit deterioration, and we typically consider cash balances in our analysis of near-term liquidity sources and uses. See the "Liquidity" section for more information.

In accordance with our view of how a company will use its cash, we may use total debt or net debt in our forward-looking view of credit metrics for the Leverage and Coverage factor. We may also cite rating thresholds based on these metrics.

Additional metrics

The metrics included in the scorecard are those that are generally most important in assigning ratings to companies in this sector; however, we may use additional metrics to inform our analysis of specific companies. These additional metrics may be important in our forward-looking view of metrics in the scorecard or in other rating considerations.

Non-wholly owned subsidiaries

Some companies in this sector choose to dilute their equity stake in certain material subsidiaries, such as through an initial public offering or a sale to a private investor, which may, in some cases, negatively affect future financial flexibility. While such transactions may improve cash holdings on a one-off basis, selling minority interests in subsidiaries may have a negative effect on cash flow available to the parent company that consolidated financial statements may not fully reflect. For example, in the case of an equity stake reduction in a subsidiary down to 75%, in the parent's financial statements, the subsidiary's revenue and EBITDA would typically still be consolidated at the group level.

The presence of minority stakes can increase structural subordination and reduce the parent's share of dividend flows from a non-wholly owned subsidiary. While less frequent, the sale of a minority stake may have provisions that further limit the parent's financial flexibility, for instance restrictions on cash pooling with other members of the corporate family, limitations on dividends and distributions, or arms-length business requirements. Minority stakeholders may have seats on the board of the subsidiary.

In many cases, we consider the impact of non-wholly owned subsidiaries qualitatively. For example, we may find that an additional view of financial results, such as analyzing cash flow on a proportional consolidation basis, may be useful to inform our analysis. When equity dilution or structural subordination from non-wholly owned subsidiaries is material and negative, the credit impact is captured in our ratings.

For companies that hold material minority interest stakes (investor companies), consolidated funds from operations typically includes the dividends received from the equity-accounted entity, while none of its debt is consolidated. The investor company's cash flow may be subject to interruption if it is required for the equity-accounted entity's debt service, capital expenditures or other cash needs. The debt of the equity-accounted entity is structurally senior to the investor company's debt. When an equity-accounted entity has a material level of debt, we may estimate one or more of the investor company's financial metrics using proportional consolidation or another approach to inform our analysis of consolidated financials and capture the credit impact of these considerations in our ratings.

Parental support

Ownership can provide ratings lift for a particular company if it is owned by a highly rated owner or owners who view it to be of strategic importance. In our analysis of parental support, we consider whether the parent has the financial capacity and strategic incentives to provide support to the company in times of stress or financial need (e.g., a major capital investment or advantaged operating agreement), or if it has done so in the past. Conversely, if the parent puts a high dividend burden on the company, which in turn reduces its flexibility, the ratings will reflect this risk. For more information, see our cross-sector methodology on assessing the impact of financial support from a parent, subsidiary or affiliate in the absence of a guarantee.[6]

Government-related issuers may receive ratings uplift from expected government support. However, for certain companies, government ownership can have a negative effect on the underlying Baseline Credit Assessment (BCA). For example, price controls, onerous taxation and high distributions can have a negative effect on a company's underlying credit profile. For more information on the BCA, see *Rating Symbols and Definitions* and our cross-sector methodology for government-related issuers.[7]

Other institutional support

In some countries, large companies have received government or banking support in the event of financial difficulties because of their overall importance to the functioning of the economy. We consider whether group and banking relationships may provide support when systemically important companies encounter significant financial stress.

As a notable example, some of our corporate ratings in Japan incorporate the government or banking support we expect to be provided, based on historical experience, to large and systemically important companies. Over the years, this support has resulted in lower levels of default for Japanese companies than might otherwise have occurred.

Scorecard-indicated outcome

We arrive at a scorecard-indicated outcome by first mapping the outcome for each factor or subfactor to a numeric score, and then by producing an aggregate numeric score before notching factors (the preliminary outcome). We then apply notching and arrive at the equivalent alphanumeric outcome.

Mapping scorecard factors to a numeric score

We map the outcome of each factor or subfactor in the scorecard to a broad Moody's rating category and to a corresponding numeric score. We score qualitative factors and subfactors based on the description by broad rating category in the scorecard. The following exhibit shows the numeric score that corresponds to each broad rating category.

Exhibit 4

Numeric scores for qualitative factors and subfactors

Aaa	Aa	A	Baa	Ba	B	Caa	Ca
1	3	6	9	12	15	18	20

Source: Moody's Ratings

We score quantitative factors and subfactors on a linear continuum. For each metric, the scorecard shows the range by broad rating category. We use the scale in the following exhibit and linear interpolation to convert the metric, based on its placement within the scorecard range, into a numeric score, which may be a fraction. As an illustrative example, if the Baa range for the ratio of revenue to interest is 50x to 100x, the numeric score for a company with a ratio of 99x – relatively strong within this range – would be closer to 7.5, while the numeric score for a company with a ratio of 51x – relatively weak within this range – would be closer to 10.5. In the scorecard footnotes, we define the endpoints of the line (i.e., the metric values that equate to the highest possible numeric score and the lowest possible numeric score).

Exhibit 5

Ranges of numeric scores for quantitative factors and subfactors

Aaa	Aa	A	Baa	Ba	B	Caa	Ca
0.5 - 1.5	1.5 - 4.5	4.5 - 7.5	7.5 - 10.5	10.5 - 13.5	13.5 - 16.5	16.5 - 19.5	19.5 - 20.5

Source: Moody's Ratings

Determining the overall scorecard-indicated outcome

We multiply the numeric score for each subfactor (or each factor, when the factor has no subfactors) by the weight of that subfactor (or factor) and sum the results to produce an aggregate numeric score before notching factors (the preliminary outcome). We then consider whether to notch the preliminary outcome upward to arrive at an aggregate numeric score after notching factors, based on the Bottler Support notching factor.

We map the aggregate numeric score back to a scorecard-indicated outcome using the ranges in the following exhibit. For example, a company with an aggregate numeric score before notching factors of 11.7 would have a Ba2 preliminary outcome. If the combined notching factors total two upward notches, the aggregate numeric score after notching factors would be 9.7, which maps to a Baa3 scorecard-indicated outcome.

Exhibit 6
Scorecard-indicated outcome

Aggregate numeric score	Scorecard-indicated outcome
x ≤ 1.5	Aaa
1.5 < x ≤ 2.5	Aa1
2.5 < x ≤ 3.5	Aa2
3.5 < x ≤ 4.5	Aa3
4.5 < x ≤ 5.5	A1
5.5 < x ≤ 6.5	A2
6.5 < x ≤ 7.5	A3
7.5 < x ≤ 8.5	Baa1
8.5 < x ≤ 9.5	Baa2
9.5 < x ≤ 10.5	Baa3
10.5 < x ≤ 11.5	Ba1
11.5 < x ≤ 12.5	Ba2
12.5 < x ≤ 13.5	Ba3
13.5 < x ≤ 14.5	B1
14.5 < x ≤ 15.5	B2
15.5 < x ≤ 16.5	B3
16.5 < x ≤ 17.5	Caa1
17.5 < x ≤ 18.5	Caa2
18.5 < x ≤ 19.5	Caa3
19.5 < x ≤ 20.5	Ca
x > 20.5	C

Source: Moody's Ratings

In general, the scorecard-indicated outcome is oriented to the senior unsecured rating for investment-grade companies and the corporate family rating (CFR) for speculative-grade companies. For companies that benefit from rating uplift from parental support, government ownership or other institutional support, we consider the underlying credit strength or BCA for comparison to the scorecard-indicated outcome. For more information on the BCA, see *Rating Symbols and Definitions* and our cross-sector methodology for government-related issuers.[8]

Assigning issuer-level and instrument-level ratings

After considering the scorecard-indicated outcome, other considerations and relevant cross-sector methodologies, we typically assign a senior unsecured rating for investment-grade companies and a CFR for speculative-grade companies. For government-related issuers, we assign a BCA.

We may notch individual debt instrument ratings upward or downward from the senior unsecured rating or the CFR to reflect our assessment of differences in expected loss related to an instrument's seniority level and collateral. For more information, see our cross-sector methodologies on loss given default for speculative-grade nonfinancial companies, notching corporate instrument ratings based on differences in security and priority of claim, and assigning short-term ratings.[9]

Key rating assumptions

For information about key rating assumptions that apply to methodologies generally, see *Rating Symbols and Definitions*.[10]

Limitations

In the preceding sections, we have discussed the scorecard factors and other considerations that may be important in assigning ratings. In this section, we discuss limitations that pertain to the scorecard and to the overall methodology.

Limitations of the scorecard

There are various reasons why scorecard-indicated outcomes may not map closely to assigned ratings.

For example, the scorecard may not fully capture credit loss and recovery considerations, which typically become more important as a company gets closer to default. The scorecard is also limited by its upper and lower bounds, causing scorecard-indicated outcomes to be less likely to align with ratings for companies at the upper and lower ends of the rating scale.

The weights of each scorecard factor and subfactor approximate their importance for rating decisions across the sector, but the importance of a particular factor may vary substantially based on an individual company's circumstances.

Factors outside the scorecard, including those discussed in the "Other considerations" section, may be important for ratings, and their relative importance may also vary from company to company. In addition, certain broad methodological considerations described in one or more cross-sector methodologies may be relevant to ratings in this sector.[11] These considerations include how sovereign credit quality affects nonsovereign issuers, the assessment of credit support from other entities, the relative ranking of different classes of debt and hybrid securities, and the assignment of short-term ratings.

We may use the scorecard over various historical or forward-looking periods. Furthermore, in our ratings we often incorporate directional views of risks and mitigants in a qualitative way.

General limitations of the methodology

This methodology does not include an exhaustive description of all the factors we may consider in assigning ratings in this sector. Companies in this sector may face new risks or new combinations of risks, and they may develop new strategies to mitigate risk. We seek to incorporate all material credit considerations in our ratings and to take the most forward-looking perspective that visibility into these risks and mitigants permits.

Ratings reflect our expectations for a company's future performance; however, as the forward horizon lengthens, uncertainty increases and the utility of precise estimates, as scorecard inputs or in other considerations, typically diminishes. Our forward-looking opinions are based on assumptions that may prove, in hindsight, to have been incorrect. Reasons for this could include unanticipated changes in any of the following: the macroeconomic environment, general financial market conditions, industry competition, disruptive technology, or regulatory and legal actions. In any case, predicting the future is subject to substantial uncertainty.

Moody's related publications

Credit ratings are primarily determined through the application of sector methodologies. Certain broad methodological considerations (described in one or more cross-sector methodologies) may also be relevant to the determination of credit ratings of issuers and instruments. A list of sector and cross-sector methodologies can be found here.

Data summarizing the historical robustness and predictive power of credit ratings can be found here.

For more information, see *Rating Symbols and Definitions*, which is available here.

Endnotes

1 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

2 For definitions of our most common metrics, see our cross-sector methodology that describes our financial statement adjustments for nonfinancial corporations. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

3 For definitions of our most common metrics, see our cross-sector methodology that describes our financial statement adjustments for nonfinancial corporations. A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

4 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

5 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

6 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

7 Links to *Rating Symbols and Definitions* and to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

8 Links to *Rating Symbols and Definitions* and to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

9 A link to a list of our sector and cross-sector methodologies can be found in the "Moody's related publications" section.

10 A link to *Rating Symbols and Definitions* can be found in the "Moody's related publications" section.

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